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MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT & ENGINEERING

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STUDY GUIDE

WORLD TRADE ORGANIZATION

Agenda 1: Negotiating Disciplines on Customs Duties for Electronic Transmissions

Agenda 2: Evaluating the Trade Impacts of Unilateral Environmental Measures



Mumbai MUN'26

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Agenda 1 - Negotiating Disciplines on Customs Duties for Electronic Transmission

COMMITTEE OVERVIEW

The World Trade Organisation (WTO) has 166 members that account for 98% of world trade. All members have joined the system as a result of negotiations. Over 20 countries are currently negotiating to join the organisation. The WTO is the only international organisation dealing with the rules of trade between nations.

The WTO operates the global system of trade rules and aims to help developing countries improve their capacity to trade. It also provides a forum for its members to negotiate trade agreements and to resolve concerns regarding trade, and requires governments to notify the WTO about new trade measures. The overall objective of the WTO is to help its members use trade as a means to raise living standards, create jobs and improve people's lives. Over three-quarters of WTO members are developing economies or in transition to market economies.

The WTO agreements stand at the heart of the organisation, negotiated and signed by nations that account for 98% of world trade. The agreements also provide developing nations with transition periods to adjust to WTO provisions and provide for practical support for implementation of the agreements, such as the Trade Facilitation Agreement, for example.[1]

The WTO agreements are lengthy and complex legal texts covering a wide range of topics including goods, services and intellectual property. However, certain fundamental principles run throughout all of the agreements and form the foundations of the multilateral trading system.[2]

AGENDA OVERVIEW

The agenda "Negotiating Disciplines on Customs Duties for Electronic Transmissions" concerns whether WTO members should be permitted to impose customs duties on products and content delivered electronically across borders, such as software, films, music, e-books, video games.[3] The issue dates back to 1998, when WTO members had agreed to maintain the existing practice of not imposing customs duties on any electronic transmissions, creating what became known as the WTO E-Commerce Moratorium that was strictly followed by all member states at that time.[4] The central debate has always concerned the exact definition of 'electronic transmissions,' their potential impact on government revenue, and whether imposing duties on electronic transmissions could create additional barriers to digital trade.

The WTO notes that data that once was traded physically in devices such as CDs and DVDs is now increasingly delivered digitally through services such as streaming and the Internet, making the treatment of electronic transmissions increasingly important for international trade rules.[5] The debate has become more urgent now that the current WTO members failed to reach any consensus at the 14th Ministerial Conference in March 2026, causing the moratorium to lapse on 30 March 2026.[6] Reuters reported that the expiry has opened the possibility of countries

[1] *World Trade Organisation*. WTO. (n.d.-a). https://www.wto.org/english/tratop_e/tradfa_e/tradfa_e.htm
[2] *What is the WTO?*. WTO. (n.d.-a). https://www.wto.org/english/thewto_e/whatis_e/whatis_e.htm
[3] *Work Programme on E-Commerce, Moratorium*. WTO. (n.d.-i). https://www.wto.org/english/tratop_e/ecom_e/ecom_work_programme_e.htm?
[4] *Work continues on issues needing clarification*. WTO. (n.d.-i). https://www.wto.org/english/tratop_e/ecom_e/ecom_briefnote_e.htm
[5] *Work Programme on E-Commerce, Moratorium*. WTO. (n.d.-i). https://www.wto.org/english/tratop_e/ecom_e/ecom_work_programme_e.htm?
[6] *Post-MC14 Briefing note*. WTO. (n.d.-h). https://www.wto.org/english/thewto_e/minist_e/mc14_e/briefing_notes_e/ecommerce_e.htm?

imposing tariffs on digital products and services, highlighting the uncertainty facing businesses engaged in cross-border digital trade.[7] Therefore, future negotiations will need to balance government revenue and development concerns with trade facilitation, digital innovation and the need for a predictable international digital-trade environment.

BACKGROUND

Key Concepts

Electronic transmissions

The Second Ministerial Conference in May 1998 that adopted the Declaration on Global Electronic Commerce never defined the term, leading to its coverage being heavily debated. In
practice, an electronic transmission has been treated as anything transmitted across a border by electromagnetic means, such as software, e-books, streamed video and audio, and general files. The Agreement on Electronic Commerce, established in 2024, supplied a working definition for its members: 'electronic transmission' means a transmission made using
any electromagnetic means and includes the content of the transmission.[8] This definition is only binding for the article and its members.

Customs duties

According to the World Customs Organisation, 'Customs duties' means the duties laid down in the Customs tariff to which goods are liable on entering or leaving the Customs territory.[9] The referral to the product as a good caused debate over the moratorium, as if electronically delivered products were classified as services rather than goods, they would be entirely exempt from customs duties in the first place. It is also argued that intangible products fall outside the WTO's classifications of goods/services entirely.

E-commerce

The 1998 Work Programme on Electronic Commerce defines the term 'electronic commerce' to mean the production, distribution, marketing, sale or delivery of goods and services by electronic means.[10]

Intangible products

Intangible digital products, such as software and other digitally encoded products that can be transmitted electronically, are a growing part of the modern economy. However, where digital products like film and software were previously sold as physical products in the form of floppy drives or DVDs, they are now available entirely online and can be downloaded digitally onto devices. The debate on whether these intangible products should be governed as goods under the General Agreement on Tariffs and Trade, which governs trade in physical goods and the restrictions imposed upon them, or as services under the General Agreement on Trade in Services, which regulates global trade in cross-border services, is unresolved.[11]

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[7] Schmollinger, C. (Ed.). (2026, March 30). *E-commerce duties moratorium expires as WTO talks run out of time, officials say | reuters*. Reuters. https://www.reuters.com/business/e-commerce-duties-moratorium-expires-wto-talks-run-out-time-officials-say-2026-03-30/

[8] Joint Statement Initiative on Electronic Commerce. WTO. https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/INF/ECOM/87.pdf&Open=True

[9] ECP and WTO trade facilitation negotiations - ECP toolkit and the WTO trade facilitation toolkit. WCO. https://www.wcoomd.org/en/topics/facilitation/resources/permanent-technical-committee/~/media/8ECFBBFA497A45859CDF7F19A25C4EB2.ashx

[10] Work Programme on Electronic Commerce. WTO. https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=Q:/WT/L/274.pdf&Open=True

[11] UNCTAD Research Paper No. 29 UNCTAD/SER.RP/2019/1/Rev.1 https://unctad.org/system/files/official-document/ser-rp-2019d1_en.pdf

Key Frameworks

Moratorium on Customs Duties on Electronic Transmissions

At the Second Ministerial Conference in Geneva in May 1998, WTO members adopted the Declaration on Global Electronic Commerce, in which they agreed to continue their practice of not imposing customs duties on electronic transmissions.[12] Every Ministerial Conference since 1998 has renewed the moratorium for a further two years, most recently at the 13th Ministerial Conference in Abu Dhabi in early 2024, which extended it until the 14th Ministerial Conference or 31 March 2026, whichever came first. As explained under Section 3, the moratorium lapsed along with the Work Programme on E-Commerce at the 14th Ministerial Conference on 30 March 2026.[13]

Work Programme on e-commerce

Adopted alongside the Moratorium in 1998, the Work Programme instructed the Council for Trade in Services, the Council for Trade in Goods, the Council for TRIPs, and the Committee for Trade and Development to examine aspects of e-commerce within their legal frameworks and domains of jurisdiction. The Work Programme was also renewed alongside the moratorium at every Ministerial Conference until its lapse at MC14 on 30 March 2026.[14]

Marrakesh Agreement

The Agreement establishing the World Trade Organisation, commonly known as the 'Marrakesh Agreement', was signed in Marrakesh, Morocco, on April 15, 1994, at the conclusion of the Uruguay Round of Multilateral Trade Negotiations (MTN) defining the scope, functions and structure of the WTO. This Agreement entered into force on January 1, 1995. Previous agreements negotiated under the General Agreement on Tariffs and Trade (GATT) and conclusions reached during the Uruguay Round were incorporated into the Marrakesh Agreement and are included in its Annexes. These agreements are now considered to be WTO agreements. All WTO members are parties to the Marrakesh Agreement, including countries that have joined the WTO since it was signed.[15]

The WTO is responsible for supporting and taking every step to ensure the implementation, administration, and operation of the Marrakesh Agreement. It provides a forum for negotiation about trade issues under the various Multilateral Agreements as well as other further negotiations to all its members. The WTO is also responsible for administering the Trade Policy Review Mechanism (TPRM) which offers complete transparency amongst its members, making possible a timely evaluation of policies and trade practices as per the size and scale of trade undertaken by a nation.[16] The WTO was tasked to also work with the International Monetary Fund, the International Bank for Reconstruction and Development, and its affiliated organisations to achieve more coherence in global economic policymaking.[17]

General Agreement on Trade in Services

The General Agreement on Trade in Services (GATS) is a treaty of the WTO whose objectives are to create a reliable and predictable system of international rules for trade in services and facilitate the progressive

[12] Declaration on Global Electronic Commerce docs.wto.org/dol2fe/Pages/FE_Search/FE_S_S009-DP.aspx?language=E&CatalogueIdList=34856
[13] *World Trade Organization MC14*. WTO. (n.d.). https://www.wto.org/english/news_e/archive_e/mc14_arc_e.htm
[14] Work Programme on E-Commerce https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/L/274.pdf&Open=True
[15] 279. (n.d.). *Trade guide: Marrakesh agreement establishing the WTO*. International Trade Administration | Trade.gov. https://www.trade.gov/trade-guide-marrakesh-agreement-establishing-wto
[16] *World Trade Organisation*. WTO. (n.d.). https://www.wto.org/english/tratop_e/tpr_e/tprm_e.htm
[17] Garg, R. (2022, February 21). *All about the Marrakesh Agreement*. iPleaders. https://blog.ipleaders.in/all-about-the-marrakesh-agreement/#Need_for_the_Marrakesh_Agreement

liberalisation of services markets. All members of the WTO are parties to the GATS.

The fundamental principles of the GATS apply, in principle, to all service sectors. However, there are two exceptions to this. The first being services supplied in the exercise of governmental authority on a non-commercial basis, such as social security schemes, public health, education and the second, services related to air transport. The GATS also applies to all services procured by all levels of government, whether local, regional or even central. Governments remain free to decide which service sectors they actually liberalise.[18]

General Agreement on Tariffs and Trade

The General Agreement on Tariffs and Trade (GATT), signed in 1947 by 23 countries, is a treaty minimising barriers to international trade by eliminating or reducing quotas, tariffs, and subsidies. GATT was originally just a legal agreement to boost economic recovery after World War II, but it operated as a de facto international organisation for 47 years. After this period, GATT was expanded and refined, leading to the creation of the WTO in 1995, which absorbed the organisation created to implement GATT.

By then, 125 nations were signatories to its agreements, which covered about 90% of global trade. The Council for Trade in Goods (known as the Goods Council) is now responsible for GATT. It consists of representatives from all WTO member countries. The agreement also provided a system for arbitrating commercial disputes among nations and enabled several multilateral negotiations to reduce tariff barriers.[19]

Agreement on Electronic Commerce

At the 11th Ministerial Conference in December 2017, a group of 72 WTO members launched the Joint Statement Initiative on E-Commerce with the goal of advancing work on electronic commerce in the WTO. In December 2024, the stabilised text of the E-Commerce Agreement was circulated, and the 72 co-sponsors confirmed their intention to incorporate it into the legal framework of the WTO.[5] The Agreement on Electronic Commerce (ECA) spans 38 articles, covering electronic transactions, signatures, and contracts, customs duties on electronic transmissions, online consumer protection, telecommunications, and institutional provisions. At MC14 in March 2026, 67 members adopted interim arrangements to bring the ECA into force. As of June 2026, 73 members are part of the initiative to adopt the ECA. The ECA will enter into force for those members that have accepted it after 45 members have ratified it.



Adoption of ECA
Source: World Trade Organisation

MORATORIUM WORKING AND LAPSE

The moratorium was initially consistently renewed at every Ministerial Conference without much debate, but with the global rise of digital trade and consumption, it was criticised for blocking customs revenue on digitally delivered products or services and furthering the global digital divide. A United Nations Conference on Trade and Development (UNCTAD) research paper estimated that the moratorium had cost developing countries 10 billion USD in 2017.[20] However, a 2019 study from the Organisation for Economic Co-operation and

[18] The General Agreement on Trade in Services (GATS). (n.d.-b). https://trade.ec.europa.eu/access-to-markets/en/content/general-agreement-trade-services-gats
[19] What is the General Agreement on Tariffs and Trade (GATT)? (n.d.-c). https://www.investopedia.com/terms/g/gatt.asp
[20] UNCTAD Research Paper No. 29 UNCTAD/SER.RP/2019/1/Rev.1 https://unctad.org/system/files/official-document/ser-rp-2019d1_en.pdf

Development (OECD) found that neglecting the moratorium and levying tariffs on electronic transmissions would lead to higher prices and reduced consumption, resulting in an overall loss in tax revenues and slower GDP growth.[21]

After the extension at MC13 in Abu Dhabi, a global statement of industry support from over 100 business associations was released on 25 March 2026, ahead of MC14, in support of making the moratorium permanent.[22] After MC14, both the moratorium and Work Programme lapsed, allowing customs duties on electronic transmissions for the first time since 1998. Without a multilateral agreement in place, customs duties on electronic transmissions now rely entirely on trade agreements between two given parties in an exchange.

FORMATION AND ADOPTION OF THE ECA

The Agreement on Electronic Commerce (ECA) was developed through the WTO's Joint Statement Initiative on E-Commerce, launched by 71 WTO members at MC11 in 2017, with formal negotiations that began in January 2019. The negotiations expanded to 91 participants and, after several years of discussions, the participating members were finally able to conclude the text of the Agreement in 2024 to establish common rules to facilitate cross-border digital trade.[23] The Agreement was proposed for incorporation into Annex 4 of the Marrakesh Agreement, and would give it a place within the WTO's legal framework as a plurilateral agreement applying only to members that agree to it and become a party to it.[24] At the 14th WTO Ministerial Conference (MC14) in March 2026, 67 WTO members tried to bring the ECA into force through interim arrangements while also continuing to get it incorporated into the WTO legal framework.[25] As of June 2026, 73 WTO members have supported the concluded text while work continues on domestic ratification, implementation and incorporation into the WTO framework.[26]

The formation of the ECA has also taken place alongside the broader and continuing debate over the WTO moratorium on customs duties on electronic transmissions, which originated in 1998.[27] Supporters of maintaining the moratorium have emphasised the importance of an environment for digital trade that is predictable, while a few developing countries raised concerns about customs-revenue losses and the need to preserve policy space as more and more products have become digitally deliverable.[28]

IMPACTS

Global Economic Impacts

Global economic impacts refer to the effects that a particular policy, agreement, or economic decision

[21] Andrenelli, A. and J. López González (2019-11-13), "Electronic transmissions and international trade - shedding new light on the moratorium debate", OECD Trade Policy Papers, No. 233, OECD Publishing, Paris. http://dx.doi.org/10.1787/57b50a4b-en

[22] Global Report on the Benefits of a Permanent WTO Moratorium on Customs Duties on Electronic Transmissions and WTO Work Programme on Electronic Commerce https://iccwbo.org/wp-content/uploads/sites/3/2026/03/03232026glwtomoratorium.pdf

[23] *Agreement on Electronic Commerce*. WTO. (n.d.-a). https://www.wto.org/english/tratop_e/ecom_e/joint_statement_e.htm?

[24] *Agreement on electronic commerce 1*. WTO. (n.d.-a). https://www.wto.org/english/tratop_e/ecom_e/information_on_agreement_ecom.pdf

[25] *How to accept the Agreement on Electronic Commerce*. WTO. (n.d.-d). https://www.wto.org/english/tratop_e/ecom_e/how_to_accept_agreement_e.htm?

[26] *Members discuss preparations to bring e-commerce agreement into force by mid-2027*. WTO. (n.d.-f). https://www.wto.org/english/news_e/news26_e/jsec_09jun26_414_e.htm?

[27] *Indirect taxation of e-commerce and digital trade*. WTO. https://unctad.org/system/files/official-document/dtlecde2024d2_en.pdf

[28] *Developing countries and trade negotiations on e-commerce*(n.d.). https://unctad.org/news/developing-countries-and-trade-negotiations-e-commerce

has on international trade, which in turn affect countries, businesses, and consumers.

Effects on Developing Economies

For developing economies, the extent of effects regarding the lapse is more than just trade policy; concerns regarding government revenue, digital industrialisation, the digital divide, and taxation of the digital economy, which are already pressing issues, make themselves even more apparent. Most developing countries already face high debt, slow economic growth and limited fiscal space, which makes it difficult for governments to fund development and industrial policies.[29]

The primary concern for these countries is the loss of customs revenue. In the past, products such as software, music, films, or other digital content could be imported in physical forms such as CDs or DVDs; however, these products are now transmitted digitally, which makes it so that a traditional customs duty cannot be charged due to the lack of a physical shipment.[30] The concern is particularly significant for developing countries because they generally depend more heavily on customs duties than developed economies. Although governments can instead tax digital consumption or company profits, some developing countries may not yet have strong enough tax systems to collect this revenue effectively.[31]

The issue is also connected to the digital divide. Developed economies have better digital infrastructure and greater capacity to facilitate the production and export of digital goods and services, whereas developing economies participate more as consumers. Therefore, developing countries worry that permanently preventing customs duties could limit their ability to raise revenue and support the development of domestic digital industries.[32]
The opposing argument is that keeping electronic transmissions free from customs duties can make digital trade cheaper and more predictable, encouraging investment, innovation, technology transfer, and participation in the digital economy.[33]

The situation becomes further complicated because of the emerging bilateral and plurilateral trade agreements that restrict customs duties on electronic transmissions. Agreements such as the Digital Economy Partnership Agreement and EU–Singapore Digital Trade Agreement contain broad commitments to do the same. Some agreements include exceptions which allow governments to take certain measures under specific circumstances, while others provide less policy flexibility.[34] As a result, countries will face a diverse set of rules where their ability to impose digital customs duties depends on their signed agreements. So even though the WTO moratorium has lapsed, other international agreements might fracture and restrict the policy choices available to developing economies.

Sectoral Impacts

Media and Entertainment

The Media and Entertainment sector would be largely affected by the customs duty on Electronic Transmission, as in today's day and age many services are transferred through electronic transmission.

Streaming of Movies and TV Shows: The implementation of customs duties on electronic

[29] A world of debt 2025 | UN Trade and Development (UNCTAD). (n.d.-a). https://unctad.org/publication/world-of-debt
[30] Scoppettuolo, E. (2026, August 3). *Are cds making a comeback?*. EverPresent. https://everpresent.com/are-cds-making-a-comback/
[31] 2019 United Nations. (n.d.-a). https://unctad.org/system/files/official-document/ser-rp-2019d1_en.pdf
[32] Managing Editor: Jennifer Freedman on October 30, & Freedman, M. E. J. (n.d.). *IISD Trade and Sustainability Review, October 2024*. International Institute for Sustainable Development. https://www.iisd.org/articles/iisd-trade-sustainability-review-october-2024-digital-trade
[33] Online tariffs? what the end of the e-commerce moratorium means for digital trade | International Institute for Sustainable Development. (n.d.-f). https://www.iisd.org/articles/policy-analysis/online-tariffs-digital-trade
[34] *EU–Singapore Digital Trade Agreement enters into force*. Trade and Economic Security. (2026, February 2). https://policy.trade.ec.europa.eu/news/eu-singapore-digital-trade-agreement-enters-force-2026-02-02_en

transmissions can affect the distribution of films, television programmes and digitally delivered entertainment across international borders. The WTO has identified streaming as an example of products increasingly shifting from physical distribution to digital delivery.[35] If customs duties were imposed, these duties could potentially increase the cost of cross-border digital distribution and create additional administrative challenges. This would also directly affect consumers, as streaming services would likely pass the extra cost on through higher subscription fees, and consumers could also face potential content fragmentation.[36]

Music/Audio: Customs duties on electronic transmissions would affect the cross-border digital distribution of music, which includes digitally delivered music and streaming of music.[37] The WTO identifies music as an example of a product that can be distributed electronically.[38] The shift to digital delivery from physical copies has changed how music crosses borders. If these duties were imposed, they would increase the costs associated with international digital distribution of music and also affect consumers with an increase in subscription plans or by giving consumers a smaller selection of music; it would also affect even independent artists and small businesses dependent on music.[39] Another challenge to be faced is what should be subject to the duty: the music content itself, or the digital service through which it is delivered to the consumer. Such a distinction is very important because, before digitalisation, customs duties were only applied to the physical carrier of the music content rather than the underlying data itself.

Video games: Customs duties on electronic transmissions threaten the video game industry, as they would affect the global distribution of video games to an unprecedented extent. This includes downloadable games, frequent updates and other digital content added to a game by the game developers. WTO identifies video games among the few products that can be delivered either through physical media or electronically, highlighting the changing nature of digital trade.[40] If customs duties were imposed, prices could potentially increase the cost of the game for consumers, as game-developing companies would increase the price of the games to earn a profit.

However, a major challenge would be determining what exactly constitutes the dutiable product: the game itself, the electronic transmission, or the digital service through which it is delivered.[41] This classification becomes increasingly complex with products such as downloadable content, game updates and cloud-based gaming services.

Software and Technology

Software as a Service (SaaS) and Cloud Computing: Software as a Service platforms (SaaS) and cloud-

[35] *World Trade Organisation*. WTO Work Programme on E-Commerce, Moratorium. (n.d.). https://www.wto.org/english/tratop_e/ecom_e/ecom_work_programme_e.htm?

[36] *Workshop on the moratorium on customs duties on electronic transmissions*. WTO. (n.d.). https://www.wto.org/english/tratop_e/ecom_e/wkmoratorium29419_e.htm?

[37] Le Poidevin, O. (2026, March 28). *What is the World Trade Organisation e-commerce moratorium that stops tariffs on digital downloads and streaming? | reuters*. Reuters. https://www.reuters.com/sustainability/land-use-biodiversity/what-is-world-trade-organisation-e-commerce-moratorium-2026-03-28

[38] WTO. (n.d.). *Briefing note: Electronic commerce*. World Trade Organisation . https://www.wto.org/english/thewto_e/minist_e/min11_e/brief_ecom_e.htm?

[39] *WTO members discuss duty-free electronic transmissions, hear views from private sector*. WTO. (2025). https://www.wto.org/english/news_e/news25_e/ecwp_19may25_e.htm?

[40] *IP/c/w/128/add.1*. WORLD TRADE ORGANISATION Council for Trade-Related Aspects of Intellectual Property Rights. (2003, May 15). https://www.wto.org/english/tratop_e/trips_e/ta_docs_e/8_1_ipcw128add1_e.pdf

[41] Taubman, A. (2020, December 1). *THE SHIFTING CONTOURS OF TRADE IN KNOWLEDGE: THE NEW "TRADE-RELATED ASPECTS" OF INTELLECTUAL PROPERTY*. Staff working paper ERSD-2020-14. https://www.wto.org/english/res_e/reser_e/ersd202014_e.pdf

computing services rely on electronic delivery across international borders; this allows any business to access software, remote data storage and computing infrastructure without receiving any physical product.[42] The WTO has identified cloud computing and related computer services as important components of today's digital economy, with computer and related services supporting global communications, e-commerce and business operations.[43]

If customs duties were imposed on electronic transmissions, governments around the world would face the complex challenge of determining what constitutes a dutiable transmission and how its value should be assessed when there is no physical product that would cross a conventional border. The WTO has specifically found difficulties in setting the valuation, classification, and customs treatment of digital products, which also includes software that can be downloaded or updated over the Internet.[44]

Downloadable Software and Digital Infrastructure: Software that previously and traditionally distributed through physical media can now easily be delivered through the Internet; this includes operating systems, applications, security and software updates or patches.[45]

The WTO also notes that the same software can be supplied on a physical disc or downloaded electronically, while upgrades may subsequently be delivered through the Internet. If customs duties were applied, governments would therefore need to establish rules for determining the value, classification and origin of such transmissions. Different national approaches could also create additional compliance burdens for software developers and technology companies, particularly smaller firms that depend on international digital distribution.[46]

Manufacturing

Semiconductor/Chip Design and manufacturing: Modern civilisation relies on chips and semiconductors, which play a vital role in our lives. Semiconductors and chips are basic hardware components that are very important and found in any technological commodity.[47] Their design and manufacturing process, hence, takes a huge amount of global cooperation and inflow and outflow of data from various parts of the globe.[48] Even the software tools and the files of the design of chips and semiconductors are sent through multiple online channels rather than any physical means. Their manufacturing also generates enormous volumes of digital information, which includes process data, quality-control measurements, sensor data and testing results, which is transferred between

[42] *Trade in services*. WTO. (n.d.-a). https://www.wto.org/english/tratop_e/dtt_e/dtt-services_e.htm?

[43] *Computer and related services*. WTO. (n.d.-a). https://www.wto.org/english/tratop_e/serv_e/computer_e/computer_e.htm?

[44] Taubman, A. (2020, December 1). *THE SHIFTING CONTOURS OF TRADE IN KNOWLEDGE: THE NEW "TRADE-RELATED ASPECTS" OF INTELLECTUAL PROPERTY*. Staff working paper ERSD-2020-14. https://www.wto.org/english/res_e/reser_e/ersd202014_e.pdf

[45] Wunsch-Vincent, S. (2004, November 19). *WTO, e-commerce, and Information Technologies*. WTO, E-commerce, and Information Technologies. https://www.wto.org/english/tratop_E/serv_e/sym_april05_e/wunschvincent_e.pdf

[46] Taubman, A. (2020, December 1). *THE SHIFTING CONTOURS OF TRADE IN KNOWLEDGE: THE NEW "TRADE-RELATED ASPECTS" OF INTELLECTUAL PROPERTY*. Staff working paper ERSD-2020-14. https://www.wto.org/english/res_e/reser_e/ersd202014_e.pdf

[47] Bagga, G. (2025, November 4). *How semiconductors impact your daily life (without you realizing)*. Orbit & Skyline Semiconductor Services. https://orbitskyline.com/blog/how-semiconductors-power-your-everyday-life-orbit-skyline/

[48] P, S. (2024, January 14). *Customs duty: Customs duty on electronic transmissions will hit semiconductor design locally: Industry bodies*. The Economic Times. https://economictimes.indiatimes.com/tech/technology/customs-duty-on-electronic-transmissions-will-hit-semiconductor-design-locally-industry-bodies/articleshow/107150992.cms?from=mdr vvvvv

production sites across borders.[49] Hence, if customs duties are added to electronic transmission, it would affect the semiconductor and chip industry, as it could potentially raise prices for both research and manufacturing, worsening the already dire chip shortage.[50] This would affect the smaller, newer companies disproportionately, as larger established companies have resources to absorb the extra compliance charges without affecting them, while smaller companies might not have those resources and would have to struggle financially.[51]

3D Printing and Additive Manufacturing: The 3D printing sector is a distinctive customs challenge because the product can be designed in one country, while the digital design file can be transmitted electronically to another country across the globe where the physical object can be manufactured. An example from the World Customs Organisation (WCO) is that a product designed in Italy can be transmitted directly to a 3D printer in the United States, illustrating how digital transmissions can replace some traditional cross-border movement of goods.[52] If customs duties were imposed on electronic transmissions, governments would need to determine whether the dutiable item is the digital design, the electronic transmission, or the physical materials used to manufacture the final product.[53] The impact of customs duties on 3D-printing transmissions depends on how digital files are classified and valued, and how the technology develops.



Metal 3D Printing
Source: Nordroden

CONCLUSION

The expiration of the WTO's moratorium on electronic transmissions has given rise to an unprecedented period of uncertainty for the digital economy, ending decades of duty-free e-commerce. In a time when digital trade and product sales have skyrocketed, with industries like entertainment shifting their models almost entirely online, customs duties on electronic transmissions could be a huge hurdle for users, with prices rising and affecting product accessibility.

The loss of potential tariff revenue and protection of domestic digital export industries are used to argue in favour of allowing customs on electronic transmissions, while the strain that these duties could take on industries, ranging from software to cloud computing to 3D printing, and the potential drop in consumers with a hike in prices are viewed as barricades imposed by potential duties.

The Agreement on E-commerce has laid the foundation for member states to potentially set in

[49] *Semiconductors*. Semiconductor Industry Association. (n.d.). https://www.semiconductors.org/wp-content/uploads/2026/04/SIA_E-CommerceMoratorium_PolicyBrief.pdf
[50] Vengattil, M. (2024, February 23). *Chip Giants urge India to support moratorium on duties at WTO*. iTnews Asia. https://www.itnews.asia/news/chip-giants-urge-india-to-support-moratorium-on-duties-at-wto-605438
[51] *WSC-2023-Joint-Statement-FINAL-with-Annex-1*. World Semiconductor Council. (2023, March 25). http://www.semiconductorcouncil.org/wp-content/uploads/2023/06/WSC-2023-Joint-Statement-FINAL-with-Annex-1.pdf
[52] Herz, C. (2021, September 9). *Digitalisation and digital trade*. World Customs Organisation. https://www.wcoesarpsg.org/digitalisation-and-digital-trade/?
[53] *WCO/WTO study report on Disruptive Technologies June 2022*. WCO/WTO. (2022, June). https://www.wto.org/english/res_e/booksp_e/wco-wto_e.pdf

stone the decision not to impose duties upon electronic transmissions. However, certain members may choose to forge different paths and end the immunity of digital trade to customs duties. The future of the global digital economy relies on whether these member states can reconcile their goals and harmonise nationalised development with the protection of trade and consumers.

Agenda 2 - Evaluating the Trade Impacts of Unilateral Environmental Measures

AGENDA OVERVIEW

The agenda "Evaluating the Trade Impacts of Unilateral Environmental Measures" concerns consistency with the WTO's core multilateral principles like non-discrimination and the Most-Favored-Nation (MFN) obligation.

In recent history, climate action has relied heavily on multilateral agreements like the Paris Agreement. However, over time, as the conditions of the climate become increasingly severe, major economies are losing patience with slow multilateral progress. Driven by the urgency to meet net-zero emission targets, powerful trading blocs shift strategy by introducing unilateral environmental measures which threaten to fracture the global economy and widen the divide between developed and developing countries. They risk penalising developing nations for a climate crisis that these nations themselves have not caused. These measures are also pushing the boundaries of international law and challenging the core authority of the WTO.[54]

BACKGROUND

Key Definitions

Unilateral coercive measures

According to the UN Human Rights Office, the term 'unilateral coercive measures' refers to economic measures taken by a state to compel a change in the policy of other states.[55]

Multilateralism

Multilateralism refers to the collective action between three or more actors that have a shared realisation that it is in their interests to work together to resolve problems that are bigger than any individual effort could tackle. It helps nations confront global challenges through a universal approach.[56]

Environmental Measures

Policies dealing with environmental sustainability such as greenhouse gas inventory management and emissions reduction initiatives, waste management, water and energy consumption, sustainable procurement practices, and other policies and laws regarding sustainability.[57]

Key Frameworks

WTO Compliance

Under the WTO agreements, a country cannot discriminate between its trading partners. Lowering the customs duty rate for one product for a particular WTO member means they ought to do the same for all other WTO members. Every time a country lowers a trade barrier or opens up a market, it has to do so for the same goods or services from all its trading partners regardless of economic or military status. Imported and locally-produced goods should also be treated equally once the foreign goods have entered the market. The same applies to foreign and domestic services, trademarks, copyrights and patents. The principle of 'national treatment ', which is giving others the same treatment as one's own nationals, is found in all three main WTO agreements (Article 3 of GATT, Article 17 of GATS and Article 3 of TRIPS).[58]

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[54] University of Massachusetts Boston University of Massachusetts Boston. (n.d.-e). https://scholarworks.umb.edu/cgi/viewcontent.cgi?article=1925&context=nejpp

[55] United Nations. (n.d.-b). *International Day against unilateral coercive measures*. United Nations. https://www.un.org/en/observances/day-against-unilateral-coercive-measures

[56] United Nations. *Multilateral system*. United Nations. https://www.un.org/en/global-issues/multilateral-system

[57] Environment, U. (n.d.). *Sustainability*. UNEP. https://www.unep.org/about-un-environment/sustainability

[58] *Understanding the WTO - principles of the trading system*. WTO. https://www.wto.org/english/thewto_e/whatis_e/tif_e/fact2_e.htm

However, WTO members are free to adopt trade measures that aim to protect the environment and human health and life as long as such measures comply with GATT rules, or fall under the exceptions to these rules. [59]

Certain measures taken to achieve environmental protection goals may restrict trade and hence infringe on the WTO rights of other members. They may violate basic trade rules such as the non-discrimination obligation and the prohibition of quantitative restrictions. This is why exceptions to such rules are particularly important in the trade and environment context.[60]

GATT Article III (National Treatment)

Article III of the General Agreement on Tariffs and Trade (GATT) maintains that foreign products, upon being imported and paying customs duties, must be treated equally to like domestic products and cannot be subject to further internal taxes or laws that incentivise purchase and circulation of domestic products over them. In other words, businesses cannot be forced to use a minimum percentage of domestic goods. Governments are allowed to favour domestic supply when purchasing if there is no commercial resale. Countries are allowed to temporarily keep discriminatory internal taxes from trade agreements predating 10 April 1947 until they can negotiate release from the trade agreement, provided that they do not raise import tariffs to compensate.[61]

GATT Article XX (General Exceptions)

Articles XX(b) and (g) allow WTO members to justify GATT-inconsistent measures if these are either necessary to protect human, animal, or plant life or health, or if the measures relate to the conservation of exhaustible natural resources, respectively. Countries can also restrict exports of raw materials to protect local industries, as well as restrict exports of critical supplies in times of shortage. Trade can also be restricted to fulfil global commodity agreements. To prevent abuse, any measures invoking an exception cannot be used as a disguised restriction on international trade, and cannot result in discrimination between any two countries with the same conditions.[62]

Agreement on Technical Barriers to Trade (TBT)

The Agreement on Technical Barriers to Trade (TBT) is a World Trade Organisation treaty which establishes rules for technical regulations and product standards, allowing members to pursue certain legitimate objectives such as environmental protection, provided these measures do not create unnecessary obstacles to international trade or discriminate against imported products from any particular country.[63]

The Agreement encourages members to use relevant international standards, and it promotes transparency and regulatory cooperation, making it particularly relevant to unilateral environmental measures.[64] This issue has become increasingly important as environmental requirements have expanded across multiple sectors, with the WTO reporting that its TBT Committee discussed new trade concerns in 2025.[65] OECD research published in 2025 found that technical trade barriers are the most common non-tariff measures affecting

[59] *World Trade Organization*. WTO. (n.d.-f). https://www.wto.org/english/tratop_e/envir_e/disputes_e.htm
[60] *World Trade Organization*. WTO. (n.d.-f). https://www.wto.org/english/tratop_e/envir_e/envt_rules_gatt_e.htm
[61] General Agreement on Tariffs and Trade. WTO. https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm
[62] General Agreement on Tariffs and Trade. WTO. https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm
[63] 279. (n.d.). *Trade guide: WTO TBT*. International Trade Administration | Trade.gov. https://www.trade.gov/trade-guide-wto-tbt
[64] *Technical barriers to trade*. WTO. (n.d.-i). https://www.wto.org/english/tratop_e/tbt_e/tbt_e.htm
[65] *Members discuss decarbonization, traceability, packaging, medical devices; address notifications*. WTO. (n.d.-g). https://www.wto.org/english/news_e/news25_e/test_tbt_28mar25_e.htm

environmental goods, which potentially creates bottlenecks in global supply chains.[66]

More broadly, the United Nations Trade and Development Organisation reported in 2026 that non-tariff measures impose higher export costs than tariffs for 88% of countries, with developing economies facing more particular challenges like increasingly complex regulatory requirements.[67] Therefore, the TBT Agreement provides an important framework for evaluating whether unilateral environmental regulations are legitimate and proportionate for environmental measures or just an unnecessary restrictive barrier to trade; it also highlights the need for transparency, international standards and greater support for countries whose economies are dependent on export.[68]

Non-discrimination and Most Favourable Nations principles

The WTO's non-discrimination principle is fundamental when assessing unilateral environmental measures. Under GATT Article I, the Most-Favoured-Nation (MFN) principle requires similar products from different WTO members to receive equal treatment.[69] GATT Article III establishes that National Treatment requires imported products to receive treatment similar to that of the country's domestic products, meaning they cannot face different, harsher rules or higher taxes.[70]

The WTO also recognised that environmental measures restrict trade when pursuing legitimate objectives such as environmental protection, but under GATT Article XX, such measures are meant to avoid any arbitrary or unjustifiable discrimination and disguised restrictions against any product from any country during international trade.[71] This is particularly relevant to climate measures that distinguish between products according to their production methods or embedded emissions. The WTO has identified non-discrimination, technical regulations, subsidies and border measures as key areas for evaluating climate policies under WTO rules.[72]

Border Carbon Adjustment

The Border Carbon Adjustment (BCA) is designed to address the differences in carbon-pricing policies by applying a carbon-related cost on any imported products comparable to the costs faced by any domestic producers. The main objectives of BCA are to reduce carbon leakage and protect the competitiveness of domestic industries that are exposed to international counterparts.[73]

However, BCAs can also affect international trade patterns: UNCTAD modelling of the EU CBAM found that trade frequency increases in countries with relatively carbon-efficient production, while exports

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[66] *Non-tariff Measures Affecting Environmental Goods Trade*. OCED. (2024, March 21). https://www.oecd.org/content/dam/oecd/en/publications/reports/2025/05/non-tariff-measures-affecting-environmental-goods-trade_1b4e6d6b/ca790510-en.pdf

[67] *Global Trade Update (May 2026): Invisible barriers – the costs of non-tariff measures | UN Trade and Development (UNCTAD)*. UNCTAD. (2026, May). https://unctad.org/publication/global-trade-update-may-2026-invisible-barriers-costs-non-tariff-measures

[68] *World Trade Organisation*. WTO. (n.d.-q). https://www.wto.org/english/tratop_e/tbt_e/tbt_e.htm

[69] *De facto discrimination in WTO law: National and most-favored-nation treatment - or equal treatment?*. The Jean Monnet Center for International and Regional Economic Law & Justice. (n.d.). https://jeanmonnetprogram.org/archive/papers/01/013201-04.html

[70] *General Agreement on Tariffs and Trade (GATT 1947)*. WTO. (n.d.-d). https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm

[71] *WTO rules and environmental policies: key GATT disciplines*. WTO. (n.d.-p). https://www.wto.org/english/tratop_e/envir_e/envt_rules_gatt_e.htm

[72] *Climate change and the potential relevance of WTO rules*. WTO. (n.d.-c). https://www.wto.org/english/tratop_e/envir_e/climate_measures_e.htm

[73] Condon, M., & Ignaciuk, A. (2013, October 31). *Border Carbon Adjustment and International Trade | OECD*. OECD. https://www.oecd.org/en/publications/border-carbon-adjustment-and-international-trade_5k3xn25b386c-en.html

from some developing countries would decline.[74] OECD's more recent analysis finds that the EU CBAM may effectively prevent carbon leakage but only partially offsets the negative effects of higher carbon prices on protected industries and can impose costs on the downstream industries.[75] The World Bank has also highlighted the increasing importance of international coordination as carbon-pricing policies expand across jurisdictions.[76] Thus, BCA's can reduce leakage and competitive distortions, but their unilateral application may generate significant distributional and trade consequences.

INTERNATIONAL CLIMATE AGREEMENTS

UNFCCC Common but Differentiated Responsibilities

Climate finance refers to local, national or transnational financing drawn from public, private and alternative sources of financing that seeks to support mitigation and adaptation actions that will address climate change.

At the 1992 United Nations Conference on Environment and Development in Rio de Janeiro, Brazil, the CBDR-RC was enshrined in the UNFCCC treaty on Climate Change. Article 3 paragraph 1 of the UNFCCC states: "The Parties should protect the climate system for the benefit of present and future generations of humankind, on the basis of equity and in accordance with their common but differentiated responsibilities and respective capabilities. Accordingly, the developed country Parties should take the lead in combating climate change and the adverse effects thereof".

Developed country Parties are to provide financial resources to assist developing country Parties in implementing the objectives of the UNFCCC.

The Paris Agreement reaffirms the obligations of developed country Parties, while also encouraging voluntary contributions by other Parties. It is recommended for developed country Parties to take the lead in mobilising climate finance from a wide variety of sources, instruments and channels, noting the significant role of public funds, through actions such as supporting country-driven strategies and taking into account the needs and priorities of developing country Parties.[77]

Paris Agreement Commitments

Established in 2015 under the UN Framework Convention on Climate Change (UNFCCC), the Paris Agreement binds participating nations to limit the global average temperature increase well below 2°C above pre-industrial temperatures, and to pursue efforts to limit the temperature increase to 1.5°C above pre-industrial levels.[78] Developed countries are mandated to provide financial and technological aid to developing countries to assist in their mitigation and adaptation under the agreement. Each participating nation must prepare Nationally Determined Contributions (NDCs), updated every five years, to demonstrate their plans to adapt to climate impacts. Progress towards achievement of the long-term goals of the Paris Agreement is measured every five years at the Conference of the Parties, referred to as the global stocktake. The 2025

[74] *A European Union Carbon Border Adjustment Mechanism: Implications for developing countries* |. UN Trade and Development (UNCTAD). (2021, July 14). https://unctad.org/publication/european-union-carbon-border-adjustment-mechanism-implications-developing-countries

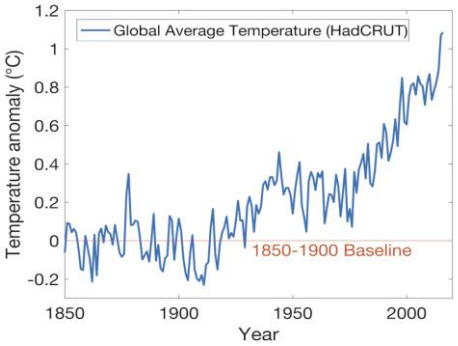
[75] Yamano, N., Lalanne, G., Kögel, C., Haramboure, A., & Dechezleprêtre, A. (2025, February). *Carbon Border Adjustments: The potential effects of the EU CBAM along the supply chain*. OCED. https://www.oecd.org/content/dam/oecd/en/publications/reports/2025/01/carbon-border-adjustments_b9049067/e8c3d060-en.pdf

[76] Joint report on climate action, carbon pricing, and policy spillovers. (2024, October 25). https://www.worldbank.org/en/news/press-release/2024/10/24/joint-report-explores-scope-for-coordinated-approaches-on-climate-action-carbon-pricing-and-policy-spillovers

[77] *UNFCCC Common but Differentiated Responsibilities*. Unfccc.int https://unfccc.int/topics/introduction-to-climate-finance

[78] Paris Agreement. UNFCCC. https://unfccc.int/files/meetings/paris_nov_2015/application/pdf/paris_agreement_english_.pdf

UNEP Emissions Gap report found that global warming projections dropped to 2.3-2.5°C with complete implementation of NDCs, and to 2.8°C under current policies. However, with methodological updates accounting for 0.1°C and the planned withdrawal of the United States of America from the Paris Agreement cancelling out another 0.1°C, the impact of the new pledges is hardly substantial. Countries are also not on track to meet their goals set for 2030, meaning the world is likely looking at 2.8°C of global warming.[79]



Global Average Temperature Baseline
Source: HADCRUT

Nationally Determined Contributions (NDCs)

Nationally Determined Contributions (NDCs) are climate action plans proposed by every participating country under the Paris Agreement every five years. Each country must pursue domestic mitigation measures aiming for emission reduction according to its capabilities and responsibilities. Each successive submission must show progression from the previous submissions, reflecting the country's ambitions. Developed countries are mandated to offer financial aid to developing countries in their obligations under the agreement.[80]

IMPLICATIONS

Competitiveness Channel for EITE Sectors

Energy-Intensive and Trade-Exposed (EITE) sectors are vulnerable to unilateral environmental measures, as energy and carbon costs are a huge part of their total production expenses. If a country introduces environmental policies, this increases the relative cost of its own domestic EITE production.[81] OECD finds that the differences in carbon pricing could affect domestic producers through import competition, export and also investment decisions.[82] However, BCA does not fully solve the problem because domestic producers still face disadvantages whenever exporting to other countries' markets that do not have or impose lower carbon costs.[83]

Relocation of Production to Less Regulated Regions

Unilateral environmental measures create incentives for companies to relocate production towards those jurisdictions with less strict environmental protection rules or carbon costs, which produces a carbon-leakage effect. OECD research identifies trade and investment as an important channel through which differences in climate policy can influence the location of production.[84] The IMF also describes

[79] *UNEP Emissions Gap Report*. 2025. https://wedocs.unep.org/rest/api/core/bitstreams/4830e1a8-14c0-44a5-a066-cdd2ba5b3e10/content

[80] Paris Agreement. UNFCCC. https://unfccc.int/files/meetings/paris_nov_2015/application/pdf/paris_agreement_english_.pdf

[81] *Border Carbon Adjustment and International Trade | OECD*. OECD. (2013, October 31). https://www.oecd.org/en/publications/border-carbon-adjustment-and-international-trade_5k3xn25b386c-en.html

[82] Hemmerlé, Y., Kruse, T., & Pisu, M. (2025). *How different climate policies affect carbon leakage through trade: Cross-country evidence for the manufacturing sector*. OECD Economics Department Working Papers No. 1851. https://www.oecd.org/content/dam/oecd/en/publications/reports/2025/12/how-different-climate-policies-affect-carbon-leakage-through-trade_c3532baa/5819ce91-en.pdf

[83] Keen , M., Parry, I. W. H., & Roaf, J. (2021, September 27). *Border Carbon Adjustments: Rationale, design and impact*. IMF Working Papers. https://www.imf.org/en/Publications/WP/Issues/2021/09/24/Border-Carbon-Adjustments-Rationale-Design-and-Impact-466176

[84] Yamano, N., Lalanne, G., Kögel, C., Haramboure, A., & Dechezleprêtre, A. (2025, February). *Carbon Border Adjustments: The potential effects of the EU CBAM along the supply chain*. OCED.

emission leakage as a major concern in places where carbon prices differ considerably between countries.[85] Analysis of the EU CBAM shows that the differences in carbon intensity can change global production and trade patterns, with the relatively carbon-efficient economies gaining a larger share of trade.[86] The World Bank has also stressed the importance of combined cooperation in preventing fragmented carbon-pricing systems so as to not create inefficient investment and trade patterns.[87]

Rerouting of Trade Flows

Unilateral environmental measures can lead to rerouting of trade flows so exporters divert products from markets with stricter environmental requirements towards those markets where compliance costs are much lower. It is indicated that policies like CBAM can alter international trade patterns in favour of those countries which have relatively carbon-efficient production, while the exporters from carbon-intensive economies could face reduced access to the implementing market.[88] OECD research similarly identifies trade flows as an important channel through which differences in climate-related policies can influence carbon leakage.[89]

Terms of Trade Effects

Terms of trade effects arise when environmental measures alter the prices of a country's exports and imports. A unilateral carbon measure could increase the cost of carbon-intensive imports while reducing the demand for exports from countries whose production is relatively carbon-intensive. Modelling of the EU CBAM indicates that developing-country exports could start to decline as trade shifts towards relatively carbon-efficient producers, which could potentially affect national income and employment.[90] OECD analysis further shows that the effects of carbon border adjustments vary across countries and sectors according to their carbon intensity, the trade exposure and position in the global supply chain.[91]

Developing Economies

Unilateral environmental measures frequently place financial strain on developing economies. Producers in developing countries often face hurdles in access to technology and digital infrastructure required to comply with environmental policies. Consequently,

https://www.oecd.org/content/dam/oecd/en/publications/reports/2025/01/carbon-border-adjustments_b9049067/e8c3d060-en.pdf

[85] Hemmerlé, Y., Kruse, T., & Pisu, M. (2025). *How different climate policies affect carbon leakage through trade: Cross-country evidence for the manufacturing sector*. OECD Economics Department Working Papers No. 1851. https://www.oecd.org/content/dam/oecd/en/publications/reports/2025/12/how-different-climate-policies-affect-carbon-leakage-through-trade_c3532baa/5819ce91-en.pdf

[86] Parry, I. W. H. (2021, September 27). *Carbon pricing: What role for border carbon adjustments?*. IMF. https://www.imf.org/en/Publications/staff-climate-notes/Issues/2021/09/24/Carbon-Pricing-What-Role-for-Border-Carbon-Adjustments-464805

[87] *A European Union Carbon Border Adjustment Mechanism: Implications for developing countries |*. UN Trade and Development (UNCTAD). (2021a, July 14). https://unctad.org/publication/european-union-carbon-border-adjustment-mechanism-implications-developing-countries

[88] *A European Union Carbon Border Adjustment Mechanism: Implications for developing countries |*. UN Trade and Development (UNCTAD). (2021a, July 14). https://unctad.org/publication/european-union-carbon-border-adjustment-mechanism-implications-developing-countries

[89] *EU should consider trade impacts of new climate change mechanism | UN Trade and Development (UNCTAD)*. UNCTAD. (n.d.-b). https://unctad.org/news/eu-should-consider-trade-impacts-new-climate-change-mechanism

[90] *A European Union Carbon Border Adjustment Mechanism: Implications for developing countries |*. UN Trade and Development (UNCTAD). (2021b, July 14). https://unctad.org/publication/european-union-carbon-border-adjustment-mechanism-implications-developing-countries

[91] *EU should consider trade impacts of new climate change mechanism | UN Trade and Development (UNCTAD)*. UNCTAD. (n.d.-b). https://unctad.org/news/eu-should-consider-trade-impacts-new-climate-change-mechanism

mandates put in place by developed countries lock these developing countries and their exporters out of wealthy markets and international supply chains.

While the Common But Differentiated Responsibilities (CBDR) principle mandates developed countries to provide financial and technological aid to developing countries that have less capacity and access to resources, unilateral environmental measures often bypass cooperative mechanisms, instead functioning as independent non-tariff barriers that force developing economies to bear heavy costs to comply with these unilateral measures to avoid losing access to wealthy international markets, which results in the broadening of the economic and developmental gap between the Global North and the Global South.[92]

RECENT EVENTS

MC14, 2026

The WTO's 14th Ministerial Conference took place from 26 to 30 March 2026 in Yaoundé, Cameroon. Ministers from across the world attended the Conference to discuss the challenges and opportunities facing the multilateral trading system and to take action on the future work of the WTO. The Conference was chaired by Luc Magloire Mbarga Atangana, Cameroon's Minister of Trade.[93]

During her opening remarks, Director-General Okonjo-Iweala said, "It is no secret that the world trading system is experiencing the worst disruptions in the past 80 years. The world order and multilateral system we used to know has irrevocably changed. We must look to the future. That means figuring out what worked well in the old order, so we can keep it and build on it. It means figuring out what did not work well, so we can repair it. And it also means identifying the gaps in the renewed order we are shaping, so we can close them."[94] However, the World Trade Organisation MC14 ended without consensus due to divisions over e-commerce rules, agriculture and transparency norms, which reflected a deepening divide between the global North and global South.

In position papers published before the conference, the EU and the UK both pushed for the expanded use of plurilateral agreements and for the WTO to demonstrate greater flexibility. The EU also specifically called for a work program to examine new ways of working to allow the WTO to be effective in the context of the 21st century. However, other members have previously voiced their opposition to expanding the use of plurilateral agreements and insisted any reform must preserve the multilateral, consensus-based model.[95]

General Council Meeting, 2026

At the first meeting of the General Council since MC14, newly elected Chairperson, Ambassador Clare Kelly from New Zealand, reported on her consultations with members on how to continue discussions in Geneva to build upon the high level of convergence on several areas of work at MC14 held in Yaoundé, Cameroon.

Progress was made regarding the lapse of the moratorium, with talks of extensions and other plurilateral agreements underway.[96] Regulations regarding the climate and its relationship with trade were skipped entirely. The need for WTO reforms were highlighted, as the current model seems to hinder multilateral progress.[97]

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[92] United Nations Conference on Trade and Development (2022). *The Least Developed Countries Report2022*.UNCTAD/LDC/2022https://unctad.org/system/files/official-document/ldc2022_en.pdf

[93] *World Trade Organisation*. WTO. (n.d.-c). https://www.wto.org/english/thewto_e/minist_e/mc14_e/mc14_e.htm

[94] WTO spotlight MC14. (n.d.-e). https://www.wto.org/english/res_e/booksp_e/ar26_spotlight_mc14_e.pdf

[95] *Deloitte*. TaxScape. (n.d.). https://taxscape.deloitte.com/article/wto-mc14--what-has-been-agreed-and-what-does-it-mean-for-businesses-.aspx

[96] *General Council chair outlines next steps to build on momentum from MC14 negotiations*. WTO. (n.d.-a). https://www.wto.org/english/news_e/news26_e/gc_06may26_386_e.htm

[97] *World Trade Report: Trade Reform to boost growth; inaction can cost 10% global GDP*. WTO. (n.d.-l). https://www.wto.org/english/news_e/news26_e/wtr_15sep26_483_e.htm

WTO Meeting of Committee on Agriculture, 2024

At the 25-26 September meeting of the Committee on Agriculture, WTO members were brought up to speed on issues ranging from food security and technology transfer to improving transparency. As usual, members reviewed each other's agricultural policies to ensure compliance within the WTO framework.

The EU Deforestation Regulation (EUDR) was added to the agenda at the request of Argentina, Brazil, Colombia, Ecuador, Honduras, Indonesia, Nigeria, Paraguay and Peru. The aforementioned countries, with the support of others, expressed concerns about the trade impact of the EU's new regulation. Acknowledging the intended nature of the policy, they criticised it for its unilateral and harsh structure. They pointed out the lack of clarity on enforcement regulations, with only three months remaining at the time before implementation on 30 December 2024.[98]

However, the EU extended the timeline to achieve compliance: to 30 December 2026 for large and medium operators, and to 30 June 2027 for micro and small operators.[99]

CASE STUDIES

United States – Import Prohibition of Certain Shrimp and Shrimp Products

Commonly referred to as the US–Shrimp case, it was the first dispute under the World Trade Organisation dispute resolution system in which the relationship between international trade regulation and the protection of the environment was at issue.

The United States adopted regulations requiring all US shrimp trawl vessels to use Turtle Excluder Devices (TEDs) in areas where there was a likelihood that shrimp trawling interacts with sea turtles. The motivations behind this legislation were that modern techniques of harvesting shrimp tend to catch sea turtles, some species of which are classified as endangered in the Convention on International Trade in Endangered Species of Wild Fauna and Flora.[100]

In 1989, the scope of the regulations was extended by Sec. 609 US Public Law 101–62 to all shrimp harvested with commercial fishing technology. Harvests imported into the US were permitted when harvesting did not adversely affect sea turtles. The use of TEDs was mandated, and the exporting country needed to have in place a programme virtually identical to that of the US when it came to dealing with turtle deaths. Only those countries which met the US requirements were granted certificates permitting the importation of shrimp. After legal proceedings in the US and amendments to the regulations, this regulatory scheme was made effective by 1 May 1996.

India, Malaysia, Pakistan and Thailand, which did not comply with the US requirements and hence were not granted import certificates, initiated formal dispute settlement proceedings before the WTO. They claimed that the US violated Art. XI of the General Agreement on Tariffs and Trade. The US defended its regulatory scheme on the basis that it was applied in a non-discriminatory manner and intended to protect an endangered species. It was argued that they were justified under Art. XX Regulations, if they violated Art. XI GATT.

The panel concluded, in its report of 15 May 1998, that the US import ban on shrimp and shrimp products was not consistent with Art. XI GATT and could not be justified under Art. XX GATT. Upon appeal, the Appellate Body subsequently confirmed, in its report of 12 October 1998, the panel's overall finding but significantly altered its reasoning. The reports were

[98] *Members discuss farm policies, address food security, technology transfer, transparency*. WTO. (n.d.-b). https://www.wto.org/english/news_e/news24_e/agri_26sep24_e.htm
[99] *Regulation on deforestation-free products*. Environment. (n.d.). https://environment.ec.europa.eu/topics/forests/deforestation/regulation-deforestation-free-products_en
[100] The cites appendices | cites. (n.d.-b). https://cites.org/eng/app/index.php

duly adopted by the WTO Dispute Settlement Body on 6 November 1998.[101]

Carbon Border Adjustment Mechanism (CBAM)

According to the European Union, there exists a risk of 'carbon leakage' due to the existence of less strict climate policies prevailing in non-EU countries. Carbon leakage occurs when companies based in the EU move carbon-intensive production to countries where there are less stringent climate policies in place, or when EU products get replaced by more carbon-intensive imports.[102]

The duration of CBAM spans 11 years, from October 1, 2023 when the first reporting obligations were activated, to January 1, 2034 when free EU ETS allocations for all CBAM sectors reach zero. The CBAM implementation timeline is the sequence of legally binding deadlines under Regulation (EU) 2023/956, as amended by Regulation (EU) 2025/2083, governing how the EU Carbon Border Adjustment Mechanism phases in from a reporting-only transitional period through to full financial operation by 2034.

The timeline spans two major phases, the first being the transitional period, October 1, 2023 to December 31, 2025, during which importers reported emissions with no financial obligation, and the definitive phase January 1, 2026 onward, in which authorised declarants purchase and surrender CBAM certificates priced at the EU ETS carbon price.[103]

Concerns raised by countries such as Brazil, Indonesia and China reflect views that uphold the multilateral sentiments of the WTO, agreeing that climate change requires multilateral efforts instead of disguised/green protectionism.

"These nations also reiterated their concerns regarding the challenges to the core WTO disciplines, especially the multilateral commitments on trade and the environment. They were also ready to call out the disregard for CBDR-RC under the UNFCCC and the Paris Agreement by the EU.[104]

EU Deforestation Regulation (EUDR)

Established in 2023, the European Union Regulation on Deforestation-free products (EUDR) is a regulation to ensure that products consumed within the EU do not contribute to deforestation globally. It applies to cattle, wood, cocoa, soy, palm oil, coffee, and rubber, as well as their derived products. These commodities are prohibited from being imported into the EU market unless it is proven that they are not sourced from recently deforested land. Exporters who want to provide these products in the EU market must obtain and present the geolocation of all plots of land where the commodities were produced and the time range of production.[105]

Non-compliance results in severe consequences, including fines, confiscation of stock, and a ban from the market. The EUDR has generated significant debate regarding its unilateral nature. The requirements outlined in the EUDR are believed to behave as a non-tariff barrier, particularly for developing economies, impacting smaller exporters that cannot afford advanced geolocative technology and cutting vulnerable producers out of the EU market entirely. In response, the EU extended the timeline to achieve compliance: to 30 December 2026 for large and medium operators, and to 30 June 2027 for micro and small operators.[106]

[101] US–shrimp case - oxford public international law. (n.d.-c). https://opil.ouplaw.com/display/10.1093/law:epil/9780199231690/law-9780199231690-e1699
[102] *Carbon border adjustment mechanism*. Taxation and Customs Union. (n.d.). https://taxation-customs.ec.europa.eu/carbon-border-adjustment-mechanism_en
[103] *CBAM timeline 2023-2034: Key dates, deadlines, and Milestones: CBAM guide*. CBAM Timeline 2023-2034: Key Dates, Deadlines, and Milestones | CBAM Guide. (n.d.). http://cbamguide.com/learn/timeline/
[104] *WTO Trade Concerns*. WTO trade concerns. (n.d.). https://tradeconcerns.wto.org/en/stcs/details?imsId=148&domainId=CTG
[105] Regulation (EU) 2023/1115 https://eur-lex.europa.eu/legal-content/EN/XT/PDF/?uri=CELEX:02023R1115-20251226
[106] Regulation on Deforestation-free Products. EU. https://environment.ec.europa.eu/topics/forests/deforestation/regulation-deforestation-free-products_en

EU Aviation Emissions Trading Dispute

In 2012, the European Union Emissions Trading System (EU-ETS) was extended to include the aviation sector. The directive mandated all flights arriving in or departing from EU airports were subject to the EU's carbon pricing scheme, having to buy carbon permits for the entire flight, not only the portion within EU airspace. The United States of America strongly opposed this ruling, proposing 'appropriate action' in response to the scheme.[107] A group of 23 countries gathered in Moscow, urging the EU to work on a multilateral approach within the International Civil Aviation Organisation (ICAO) and cease the adoption of the directive.[108]

The EU subsequently suspended the EU-ETS on long-haul flights in an initiative known as the 'stop the clock' suspension. The move was framed as temporary and conditional, permitting time for the ICAO to pass a multilateral alternative to lower emissions. In 2016, ICAO announced the Carbon Offsetting and Reduction Scheme for International Aviation (CORSIA). CORSIA, to be implemented by 2020, aims for carbon-neutral growth from 2020. It is presently open for voluntary adherence, and will be made compulsory in 2027.[109]

CONCLUSION

Unilateral environmental policies present both an opportunity for climate action and a challenge to the multilateral trading system. Mechanisms such as the EU Carbon Border Adjustment Mechanism (CBAM) aim to reduce carbon leakage and encourage cleaner production; they affect the competitiveness of carbon-intensive exporters and importers, redirect trade flows, and also impose additional compliance costs on still-developing economies. The EU Deforestation Regulation shows how environmental requirements, such as supply-chain traceability and geolocation, can create difficulties for smaller exporters lacking the necessary technology and resources.

Past disputes, like the US–Shrimp case and the EU aviation emissions dispute, also demonstrate the difficulty of reconciling environmental objectives with international trade obligations. These examples highlight the importance of ensuring that environmental measures pursue legitimate objectives without resulting in arbitrary discrimination or disguised restrictions on trade against particular countries. Even though there are several important principles in the framework of the WTO that can protect from any negative impacts, any environmental policy should be in line with the requirements of international trade. The challenge is not to choose between environmental protection and international trade, but to make sure both advance together. Things such as greater transparency between nations, transfer of technology and financial assistance are essential to address concerns faced by developing economies.

Guided by the principle of Common but Differentiated Responsibilities and Respective Capabilities (CBDR-RC), countries should work towards environmental policies that are effective and consistent with multilateral trade rules to ensure that the transition to a low-carbon economy does not disproportionately burden those countries with much fewer resources.

[107] BBC News. (2011, December 21). *US rejects European Court ruling on airline emissions*. https://www.bbc.com/news/business-16282692
[108] *Moscow meeting adopts declaration on inclusion of International Civil Aviation in the EU-ETS. IISD.* https://sdg.iisd.org/news/moscow-meeting-adopts-declaration-on-inclusion-of-international-civil-aviation-in-the-eu-ets/
[109] Carbon Offsetting and Reduction Scheme for International Aviation. ICAO. https://www.icao.int/CORSIA